9:00 A.M.

Calendar Line # 2

Case Name Gary Cayton et al vs El Camino Hospital et al

Case No. 24CV442138

Motion to Strike

Before the court is defendant El Camino Hospital's motion to strike portions of plaintiffs' first amended complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

On or about June 30, 2023, Gary Cayton ("Decedent") was admitted to defendant El Camino Hospital (erroneously sued as El Camino Hospital d/b/a El Camino Health Los Gatos; hereafter, "Hospital") due to restlessness and after being unable to urinate. (First Amended Complaint ("FAC"), ¶22). At the time of admission, Decedent had limited mobility, was of advanced age, and had multiple complex medical diagnoses that made him unable to care for his own needs, thus dependent upon and requiring the assistance of defendant Hospital's staff for his activities of daily living, including toileting, bed mobility, transfers, and hygiene. (FAC, ¶¶22 – 23).

Defendant Hospital represented to Decedent and his family that it was able, knowledgeable, and sufficiently staffed to care for Decedent in light of his high-risk conditions. (FAC, ¶24). Decedent and his family relied on defendants' representations when it selected defendants' facility to provide care for Decedent. (*Id.*).

Plaintiff alleges that Defendant Hospital's staff did not provide proper pressure ulcer prevention protocol to Decedent. (FAC, ¶26). Decedent developed severe pressure ulcers to his sacrum/ coccyx area. (FAC, ¶25). Defendant Hospital failed to properly treat and heal those pressure ulcers. (FAC, ¶¶27, 39, 40). Decedent's sacral wound started out small but, due to lack of treatment, grew to a stage 4 pressure ulcer. (FAC, ¶29).

Decedent complained to defendant Hospital staff of extreme abdominal pain on or about June 30, 2023. (FAC, ¶32). Decedent underwent surgery for a hernia and abscesses in his abdomen becoming wholly dependent on defendant Hospital's staff for his care needs. (*Id.*). Plaintiff alleges that Defendants' staff failed to assist Decedent with his toileting and hygiene needs leaving him in his feces for long periods on multiple occasions. (FAC, ¶33).

Per Plaintiff, Decedent stopped eating to avoid bowel movements to avoid having to lay in his own feces because he knew nursing staff would not properly care for him. (FAC, ¶35). As a result, Decent lost weight and dropped to 125 pounds. (*Id.*).

On multiple occasions, defendants' staff ignored Decedent's call light and left Decedent unassisted for extended periods of time. (FAC, ¶36). Decedent's feeding tube became infected because defendants' staff withheld care and refused to properly clean the tube and properly care for it. (FAC, ¶37). Decedent developed numerous unexplained bruises during his residence at defendant Hospital. (FAC, ¶38).

Decedent's condition deteriorated significantly and he died on August 20, 2023. (FAC, ¶41).

On June 28, 2024, Decedent, by and through his successors in interest, Monica Cayton and Jolie Higgins ("Plaintiffs") filed a complaint against defendant Hospital, among others, asserting causes of action for:

(1) Negligence
(2) Violations of the Elder and Dependent Adult Civil Protection Act
(3) Wrongful Death

On July 14, 2025, Plaintiffs filed the now operative FAC which asserts causes of action for:

(1) Negligence

(2) Violations of the Elder and Dependent Adult Civil Protection Act
(3) Wrongful Death
(4) Unfair Competition

On August 25, 2025, defendant Hospital filed the motion now before the court, a motion to strike portions of Plaintiffs' FAC.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 435, subd. (b)(1), any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322, subd. (b)). On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782).

III. ANALYSIS

A. TREBLE DAMAGES

At paragraph 84 of the FAC, Plaintiffs allege, "Plaintiff is entitled to treble damages under Civil Code § 3345[1] as a result of Defendants' unfair business practices." Defendant Hospital moves to strike this allegation relying on *Clark v. Superior Court* (2010) 50 Cal.4th 605, 614 – 615 (*Clark*) where the California Supreme Court held:

> Restitution is the only monetary remedy authorized in a private action brought under the unfair competition law. (*Korea Supply Co. v. Lockheed Martin Corp.*, *supra*, 29 Cal.4th at pp. 1146, 1148.) Restitution is not a punitive remedy. The word "restitution" means the return of money or other property obtained through an improper means to the person from whom the property was taken. . . . Because restitution in a private action brought under the unfair competition law is measured by what was taken from the plaintiff, that remedy is not a penalty and hence does not fall within the trebled recovery provision of Civil Code section 3345, subdivision (b).

Plaintiffs, in opposition, acknowledge this holding from *Clark*, but contend the facts here are distinguishable as the unfair competition claim involves elder abuse whereas in *Clark*, the plaintiffs claimed unfair business practices relating to the purchase and sale of annuity contracts. The court does not find this distinction makes a difference. At bottom, both cases concern whether the remedy of restitution under the UCL operates as a penalty and *Clark* makes clear that it does not and that is why treble damages under Civil Code section 3345 is unavailable.

Plaintiffs also contend the present case is distinguishable because they seek disgorgement of defendant Hospital's ill gotten gains/ profits. Plaintiffs cite no legal authority to support their position that disgorgement under the UCL operates as a penalty. To the contrary, the California Supreme Court in *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1148 explained that disgorgement of profits is an available remedy, but only to the extent that it is restitutionary disgorgement:

[1] Civil Code section 3345, subd. (b), states, in relevant part: "**Whenever a trier of fact is authorized by a statute to impose either a fine, or a civil penalty or other penalty, or any other remedy the purpose or effect of which is to punish or deter**, and the amount of the fine, penalty, or other remedy is subject to the trier of fact's discretion, the trier of fact shall consider the factors set forth in paragraphs (1) to (3), inclusive, in addition to other appropriate factors, in determining the amount of fine, civil penalty or other penalty, or other remedy to impose. Whenever the trier of fact makes an affirmative finding in regard to one or more of the factors set forth in paragraphs (1) to (3), inclusive, it may impose a fine, civil penalty or other penalty, or other remedy in an amount up to three times greater than authorized by the statute, or, where the statute does not authorize a specific amount, up to three times greater than the amount the trier of fact would impose in the absence of that affirmative finding." (Emphasis added).

> This court has never approved of nonrestitutionary disgorgement of profits as a remedy under the UCL. While prior cases discussing the UCL may have characterized some of the relief available as "disgorgement," we were referring to the restitutionary form of disgorgement, and not to the nonrestitutionary type sought here by plaintiff.

Thus, consistent with *Clark*, since the only form of disgorgement available under the UCL is restitutionary disgorgement, it is not a penalty for which treble damages would be available under Civil Code section 3345.

Accordingly, defendant Hospital's motion to strike the language from paragraph 84 of the Plaintiffs' FAC identified above is GRANTED.

B. PUNITIVE DAMAGES

Defendant Hospital moves to strike Plaintiffs' prayer for punitive damages (found at page 21 of the FAC) but only insofar as punitive damages are being sought in connection with Plaintiffs' first and third causes of action because no claim for punitive damages may be included in a complaint against a health care provider unless the court enters an order permitting such a claim. (Code Civ. Proc., §425.13). Implicitly, defendant Hospital acknowledges Plaintiffs may properly pray for punitive damages in connection with the second cause of action (elder abuse). For that reason alone, defendant Hospital's motion to strike the prayer for punitive damages from Plaintiffs' FAC is improper.

Moreover, "because the gravamen of the instant action is violation of the Elder Abuse Act, section 425.13 is inapplicable to the common law intentional torts at issue. (Covenant Care, supra, 32 Cal.4th at p. 779.) … section 425.13(a) does not apply to punitive damage claims in [plaintiffs'] elder abuse action against [defendant skilled nursing facility]." (*Country Villa Claremont Healthcare Center, Inc. v. Superior Court* (2004) 120 Cal.App.4th 426, 435). The same result applies here as it is the court's opinion that the gravamen of Plaintiffs' action is a violation of the Elder Adult Civil Protection Act.

For the above stated reasons, defendant Hospital's motion to strike the prayer for punitive damages from Plaintiffs' FAC is DENIED.

IV. CONCLUSION

Based on the foregoing, Defendant Hospital's motion to strike the language from paragraph 84 of the Plaintiffs' FAC identified above is GRANTED.

Defendant Hospital's motion to strike prayer for punitive damages from Plaintiffs' FAC is DENIED.

Court will prepare the final Order.

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Calendar Line # 3-4
Case Name Fernando Hernandez et al vs Peter Singler et al
25CV467301

Demurrer (Line #3) & Motion for Sanctions (Line #4)

DEMURRER (Line #3)

I. BACKGROUND

Before the court is defendants Peter A. Singler and Matthew Graham McClean's demurrer to plaintiffs' entire first amended complaint and each cause of action. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

On or about November 22, 2024, plaintiff Teriyaki City Grill Santa Clara LLC ("Teriyaki") and defendant Legacy Real Estate & Associates, Inc. ("Legacy") entered into a Buyer Representation and Broker Compensation Agreement ("Representation Agreement") whereby defendant Legacy represented plaintiff Teriyaki with regard to real property located at 2565 The Alameda, Santa Clara, California 95050 ("Property"). (First Amended Complaint ("FAC"), ¶20 and Exh. A). Defendant Legacy was retained by plaintiffs to represent, advise, explain the legal ramifications of agreements to, and negotiate on behalf of plaintiffs Teriyaki and Buyers, *infra*, with respect to the Purchase Agreement, First Amendment, and assignment of lease, *infra*.

On or about December 13, 2024, plaintiffs Fernando Hernandez ("Hernandez"), Ngoc Nguyen ("Ngoc"), Huyen Nguyen ("Audrey"), and Ha Thanh Hoang ("Kelly") (collectively, "Buyers"), on the one hand, and defendant The Wicked Group Inc. ("Wicked" or "Seller"), on the other, entered into a Purchase and Sale Agreement ("Purchase Agreement") of the business assets of a business which operated at the Property. (FAC, ¶21 and Exh. B). The Purchase Agreement was subject to Buyers obtaining an assignment of the lease for the Property from defendant Matthew Graham McClean ("McClean"), the sole shareholder and director of defendant Wicked. (FAC, ¶¶11, 19, and 21).

On December 19, 2024, Buyers and Wicked entered into a First Amendment to Purchase and Sale Agreement ("First Amendment") pursuant to which Buyers were entitled to an assignment of the lease for the Property. (FAC, ¶22 and Exh. C).

On December 20, 2024, each of the Buyers wired $18,000 or a total of $72,000 into the trust account of defendant Peter A. Singler ("Singler"), attorney for defendants Wicked and McClean. (FAC, ¶¶9 and 23). Defendant Singler was the escrow holder for Buyers and Wicked/ McClean. (FAC, ¶9).

Pursuant to the First Amendment, Buyers were entitled to a full or partial refund if the lessor refused to assign the lease for the Property. (FAC, ¶24). The Property's lessor refused to assign the lease to Buyers through no act, fault, or contribution of Buyers. (*Id.*) The Property's lessor refused to assign the lease to Buyers because the lessee, defendant McClean, owed $38,000 in back rent. (*Id.*). Defendant McClean did not disclose this arrearage to Buyers. (*Id.*) In addition, the Property's lessor refused to assign the lease to Buyers unless the lease was amended to include an "early termination" provision giving the lessor the unconditional right to terminate the lease prior to its stated termination date. (FAC, ¶25).

On January 16, 2025, Buyers' agent emailed defendant Singler instructing Singler not to release the escrowed funds because, among other things, the Property lessor had not assigned the lease to Buyers. (FAC, ¶26).